



October 27, 2016

U.S. Copyright Office
Docket No. 2015-8
Section 1201 Study:
Notice of Inquiry and Request for Additional Comments
Comments of the Consumer Technology Association

The Consumer Technology Association (CTA) applauds the Copyright Office for specifically requesting comments on CTA's view, expressed in its March 3, 2016 Comments and an ensuing Roundtable, that supplying expert assistance and components to a user for a purpose ruled exempt under Section 1201(a)(1) is not and should not be considered "trafficking" under separate provisions of the DMCA. Thus the Office should not have recommended a Class 21 exemption narrower than the one advised by the Administration's expert agency, the Department of Commerce.¹ CTA said in its Comments:

CTA believes that the correct recommendation was that of the Department of Commerce, which advised the Register to recommend an exemption to make repairs or modifications "by or *at the request of* the owner of the vehicle or machinery."²

CTA respectfully requests that the Office and Librarian urgently reconsider and revise the Class 21 outcome, and accept the Commerce Department's recommendation. New aftermarket technologies are becoming available that promise to dramatically enhance auto safety. Sensors, lane change detectors and visibility enhancing devices, if installed, promise to save many of the 30,000 lives lost every year on American highways. It is imperative – even a moral obligation – that we allow these new technologies to find their way into vehicles as quickly as possible. Ensuring that drivers can, if needed, avail themselves of third party assistance to install these revolutionary technologies is a profound and necessary social good.

¹ Commerce Dept. Letter to the Register at 58 (emphasis added). The Librarian's October 28, 2015 "Final Rule," the October 8 Recommendations of the Register, and the Sept. 18 Letter of the Commerce Department to the Register on behalf of the Administration are all linked at <http://www.copyright.gov/1201/>.

² U.S. Copyright Office Docket No. 2015-8, Section 1201 Study: Notice of Inquiry and Request for Public Comment, 80 Fed.Reg. No. 249, Dec. 29, 2015, Comments of the Consumer Technology Association, March 3, 2016, at 1 ("CTA Comments").

CTA members³ and others who offer services to consumers in the repair, replacement, and safety of automotive products should be free of DMCA objections that have nothing to do with commercial exploitation of copyrighted works. The drafters of the DMCA did not consider it to be “trafficking” for a *retailer* to provide specific, expert assistance or necessary materials to a consumer, where that consumer’s right to engage in lawful activity has been specifically confirmed by the Librarian. The Office erred in interpreting the Unlocking Act⁴ as implying by negative inference that the offer of expert assistance or necessary components for an exempt purpose constitutes “trafficking.” That law (passed to correct a different determination by the Librarian) contained no such language – indeed, its legislative history cautioned *against* negative inference.

The Office’s May Roundtable

In the Office’s May 20, 2016 roundtable CTA’s counsel made these points in elaboration of CTA’s March Comments:

Expert Assistance For A Lawful Purpose Is Not Trafficking.

- As the Office’s roundtable moderator pointed out, the Act’s provision’s pertaining to trafficking are contained in DMCA sections 1201(a)(2) and 1201(b); they do not appear in Section 1201(a)(1).⁵
- Any exemption to use tools, components, or advice is granted only in the context of the specific limitations set forth by the Librarian. Thus, with or without expert assistance, to use a tool or product or receive or install a component in conformity with these limitations cannot be “trafficking” because it is not conduct beyond that which the Librarian has declared exempt under Section 1201(a)(1).⁶
- To the extent the furnishing of tools, components, or advice may go beyond the defined limits of the granted exemption, it would extend beyond the safe harbor of Section

³ CTA is the preeminent technology trade association, promoting growth in the \$285 billion U.S. consumer technology industry through market research, education and public policy representation. CTA members lead the consumer technology industry in the development, manufacturing and distribution of audio, video, mobile electronics, communications, information technology, multimedia, and accessory products, as well as related services sold to consumers. A complete list of CTA members is available at <https://www.cta.tech/Membership/Membership-Directory.aspx>.

⁴ Unlocking Consumer Choice and Wireless Competition Act, Pub. L. No. 113-144, 128 Stat. 1751 (2014).

⁵ U.S. Copyright Office Section 1201 Public Roundtable Transcript, May 20, 2016, at 9 (“May 20 Transcript”).

⁶ *Id.* at 28 – 29, 69 – 71.

1201(a)(1), so would not be exempt. Any such tool, component, or assistance could still be successfully challenged in court as “trafficking,” irrespective of the Librarian’s exemption. Any court would understand that the exemption as granted by the Librarian is limited and conditioned. Thus the Librarian’s action should not and would not be understood by any court as impairing the court’s ability to make a “trafficking” determination as appropriate under Sections 1201(a)(2) or 1201(b). Accordingly, there was no reason for the Office to conflate Section 1201(a)(1) with these other provisions.

- The legislative history cited in CTA’s March Comments, which was contemporaneous with and a functional part of the passage of the DMCA, clearly supports this interpretation. In presenting this legislation on the House floor, the Chairman of the House Commerce Committee referred specifically to the “authority of manufacturers *and retailers* to address the legitimate concerns of their customers.”⁷ The only sensible interpretation of this and similar statements made in presenting the legislation to the full House is that aftermarket assistance to consumers for a lawful purpose should not be assumed to be “trafficking.”
- If there were any public policy basis with respect to safety or the environment for such assistance to be nevertheless forbidden as “trafficking,” it would have been the responsibility of the Administration, through the Department of Commerce, to provide such basis. Instead, the Commerce Department, through NTIA’s analysis and guidance, affirmatively recommended that the exemption should include modifications and installations “by or at the request” of the user. The Office could and should have accepted this guidance.

In the same Roundtable it was also asserted by expert commentators:

- The automotive context in which expert assistance, components, and tools are provided is non-expressive.⁸
- Any software involved is essentially functional.⁹
- Any vehicle software that is accessed or modified is likely to have been purchased by the consumer along with the vehicle.¹⁰
- The context in which attachment of third party components has been challenged has been the avoidance of competition, rather than the protection of expression or rights in intellectual property.¹¹ Such attempts to suppress competition are not aimed at “trafficking.” Rather,

⁷ 144 Cong. Rec. H7094 – 7095 at 7094 (Aug. 4, 1998), Remarks of Rep. Bliley (emph. added) (“Bliley”).

⁸ May 20 Transcript at 17, 26 – 27, 39 - 41, 45.

⁹ *Id.* at 11, 20, 23, 25 - 27, 30, 39 - 41, 45, 55 – 59, 74 – 75.

¹⁰ *Id.* at 26.

¹¹ *Id.* at 26, 58 – 59, 175 - 176

they constitute conduct labeled by leading members of the House Judiciary Committee in its 2014 oversight review as *abuse*.¹²

The Unlocking Act Neither Says Nor Implies That Lawful Expert Assistance Is Trafficking.

- Members of Congress, in reviewing the Librarian's historical dealing with phone unlocking, were well aware that a consumer's ability to unlock a phone depended on expert assistance. The Librarian had not cautioned against such assistance in previously granting unlocking exemptions.¹³
- The Congress, in undertaking to reverse the Librarian's failure to grant the phone exemption in the previous round, was simply reversing one action of the Librarian. That the Act also *clarified* that lawful unlocking may include expert assistance was no more significant than had been the *unstated assumption*, in previous rounds, that such assistance could and would be rendered, because otherwise phone unlocking would not have been possible.¹⁴
- There is nothing in the law or the legislative history to suggest that Congress intended any negative inference about necessary assistance in any other context or with respect to any other determination by the Librarian.¹⁵
- The Administration supported the Unlocking Act and the President signed it into law. Yet the Administration, through the Commerce Department, thereafter recommended that the Class 21 exemption should include work and installations performed *at the request* of the user. Thus the negative inference seen by the Office was seen by no other responsible agency of government and lacked any foundation.¹⁶

The DMCA Drafters Recognized The Importance of Aftermarket Interoperability.

In presenting the DMCA on the floor of the House, Commerce Committee Chairman Bliley emphasized that the Act was not meant to restrict interoperability *in a post-sale, aftermarket environment*. He specifically cautioned that the DMCA should not be interpreted as unduly restricting the ability of *retailers and servicers* to maintain or enhance the performance of the devices for which consumers pay:

[T]he Committee is particularly concerned that the introduction of such measures not frustrate consumer expectations and that this legislation not be interpreted to in any way limit the authority of manufacturers and retailers to address the

¹² See Class 11 Comments of Gazelle and eBay, Feb. 6, 2015, and Class 21 Reply Comments of Consumer Electronics Association, May 1, 2015.

¹³ May 20 Transcript at 31 – 33, 41

¹⁴ *Id.*

¹⁵ *Id.*

¹⁶ *Id.*

legitimate concerns of their customers. *** As advances in technology occur, consumers will enjoy additional benefits if devices are able to interact and share information. Achieving interoperability in the consumer electronics environment will be a critical factor in the growth of electronic commerce. In our view, manufacturers, consumers, **retailers, and servicers** should not be prevented from correcting an interoperability problem resulting from a protection measure causing one or more devices in the home or in a business to fail to interoperate with other technologies.¹⁷

The Unlocking Act Drafters Recognized The Importance of Interoperability Generally.

In the legislative history discussion of the Unlocking Act it was noted that servicer assistance in aid of interoperability was essential for many consumers.¹⁸ Yet when prior phone unlocking exemptions were granted there had been no public or congressional concern expressed that specific permission for such assistance was necessary and had been withheld. Hence, there was no basis for the Office to assume that Congress, in specifying a right to such assistance, was under the impression that prior grants had excluded such a right. Indeed, in reporting out the final version¹⁹ of the bill that reversed the Librarian's denial, the Senate Judiciary Committee was emphatic that it intended *no positive or negative inference* with respect to the Librarian's authority in other exemption proceedings:

While there are larger ongoing debates about the scope and application of Section 1201 of the DMCA, as well as other aspects of phone unlocking, those issues are not addressed by the legislation, which makes no changes to Section 1201 of the DMCA. The bill respects the independence of the Library of Congress under existing law to conduct the triennial rulemakings set forth in Section 1201(a)(1) and does not alter the authority of the Librarian in future rulemakings.²⁰

Given the explicit intent of the DMCA's drafters that it should not be read to impair user interoperability for lawful purposes, or to impair the Librarian in granting exemptions, the Unlocking Act could not and did not pose any barrier to the Librarian's following the Administration's specific advice to include a right to assistance in its Class 21 exemption, as it did for Class 11. To the extent the Unlocking Act is relevant to autos it should have been understood by the Office as *furthering* the rights of users generally, rather than constraining them. The only caution and constraint cited by the drafters of the Unlocking Act was that the assistance must be rendered be for purposes of interoperability:

¹⁷ 144 Cong. Rec. H7094 – 7095 at 7094 (Aug. 4, 1998), Remarks of Rep. Bliley (emph. added) (“Bliley”).

¹⁸ See Senate Report No. 113-212 (Comm. On the Judiciary) at 4, 6 (“Senate Unlocking Act Report”).

¹⁹ See 160 Cong. Rec. S4510 – 11 (2014) and 160 Cong. Rec. H6835-36.

²⁰ Senate Unlocking Act Report at 5.

[N]othing in the bill permits third parties to unlock devices ***independently of the device owner's direction***, or for a purpose other than allowing the owner or a family member to connect to a new wireless network.²¹ *** Unlike many other situations where an exemption from the circumvention prohibition may be sought or granted, unlocking a cell phone to connect to a wireless network ***typically does not facilitate copyright infringement***.²²

These observations apply identically in the case of consumers who own automobiles and wish to maintain or update their performance. The rationale for the Unlocking Act simply recapitulates the rationale of the DMCA drafters in assuring that the DMCA would not impair device interoperability. The Unlocking Act should have been viewed by the Librarian as an additional reason to specifically approve assistance to users of owned devices who receive exemptions, not one for denying the necessary assistance.

The Office Should Revisit Its Recommendation And Should Support Clarifying Legislation

Although CTA believes that the Office and the Librarian should revisit and modify the Class 21 outcome now, CTA also renews its legislative recommendations as provided in CTA's March 3, 2016 Comments:

- The scope of Section 1201 should be clarified to protect only access to and copying of expressive works.
- Functional access to a work embedded in a product that the user owns should be clearly lawful.
- Expert assistance and component enhancements in aid of repair, upgrade, or interoperability should not be regarded as "trafficking."

CTA appreciates this opportunity to provide its views.

Respectfully submitted,

A handwritten signature in black ink, appearing to read "M. Petricone".

Michael E. Petricone
Senior Vice President
Government Affairs

²¹ Senate Unlocking Act Report at 4.

²² *Id.* at 6 (emph. Added)